

Gujarat Mineral Development Corporation Ltd

NSE: GMDCLTD | Mining & Minerals | Lignite · Bauxite · Multi-Mineral

ACCUMULATE

12-Month Target: ₹720

CMP (₹)	Mkt Cap (₹ Cr)	52-Wk High/Low	P/E (TTM)	P/B	Div. Yield
622	19,792	651 / 286	30.9x	2.95x	1.62%
EPS FY25A (₹)	Book Value (₹)	ROCE	ROE	Promoter %	Face Value (₹)
21.57	211	14.1%	10.9%	74.0%	2.00

Investment Thesis: New mine ramp-up (6 lignite blocks) + critical mineral diversification to drive 4× revenue by FY30 from a near-debt-free base.

Report Date: 15 April 2026

Analyst: Institutional Research Desk

Investment Horizon: 12 months

SECTION 2 — INVESTMENT THESIS

Pillar 1 — Six New Lignite Blocks: Structural Volume Re-Rating

GMDC has been allotted six new lignite blocks carrying combined reserves of ~360 million tonnes, nearly doubling its current operational mine base of three mines. Commercial production from the first of these blocks is expected in Q4 FY26 / Q1 FY27. Over a 3–5 year horizon, this volume addition is the single most powerful driver of revenue re-rating — management has guided ₹14,500 crore in revenues by FY30, implying a ~5× growth from the FY25 base of ₹2,851 crore. With lignite realisation stable and demand from textile, ceramic, and chemical industries robust in Gujarat, the incremental volume will directly translate to operating leverage.

Pillar 2 — Multi-Mineral Diversification: Beyond the Lignite Plateau

GMDC is actively pivoting beyond its lignite dominance into copper, rare earth elements (REE), and coal mining (Odisha — Baitarni West block via NTPC MoU). The company has also signed an MoU with NMDC to jointly explore REE sector opportunities. REE and copper are critical-mineral categories receiving strong government tailwinds through the National Critical Minerals Mission. While these projects are pre-revenue today, they carry asymmetric upside optionality in the FY28–32 window that is not captured in our base-case estimates.

Pillar 3 — Near-Debt-Free Balance Sheet: Capex Capacity Without Dilution Risk

Despite committing ₹13,000 crore of capex through FY30 (~₹1,500–2,500 crore per annum), GMDC enters this investment cycle with borrowings of only ₹126 crore against reserves of ₹6,348 crore and investments of ₹484 crore. Strong cash generation — OCF of ₹1,059 crore in FY25 — means the company can self-fund a significant portion of capex without recourse to dilutive equity raises. This financial optionality is a key differentiator vs. peers who enter growth phases leveraged.

Near-Term Catalyst (6–12 Months)

First commercial dispatch from new lignite blocks (Surkha / Ratedi) expected by Q1 FY27 is the single most important de-risking event — volumes + realisation visibility will close the gap between current valuation and the long-term growth narrative.

Biggest Structural Risk

India's accelerating renewable energy transition could structurally compress lignite demand from industrial end-users over a 5–7 year horizon, requiring GMDC to successfully execute its diversification strategy before lignite volumes plateau.

SECTION 3 — BUSINESS OVERVIEW

Simple Business Explanation

Think of GMDC as a government-owned quarry that digs up valuable rocks from Gujarat's soil and sells them to industries that need them. The biggest rock it digs is lignite — a brownish coal used as fuel by factories like textile mills and brick kilns in Gujarat. It also digs up bauxite (the rock aluminium is made from), fluorspar (used in chemicals and steel), and manganese — and it generates electricity from a 250 MW thermal plant and 200 MW of wind power.

Core Business Model

GMDC is India's second-largest lignite producer and the dominant merchant seller of lignite, supplying high-growth industries such as textiles, chemicals, ceramics, and captive power in Gujarat and Rajasthan. The company earns primarily through the sale of run-of-mine lignite, calcined bauxite, and power generation. Lignite contributes ~70–75% of total revenues. Margins are heavily influenced by lignite realisation prices and volumes — both of which saw headwinds in FY24 but recovered in FY25.

Revenue Segmentation

Lignite (including lignite for captive power) contributes roughly 70–75% of revenues, bauxite and calcined bauxite ~15%, fluorspar and other minerals ~5%, and power generation/wind ~5–10%. The business is almost entirely domestic. GMDC's calcined bauxite, however, does see some export demand from global aluminium and refractories markets. Customer concentration risk exists given Gujarat's industrial cluster dependence, but is mitigated by the breadth of end-use sectors.

Revenue Visibility and Order Book

GMDC operates as a merchant miner — it does not typically carry long-term offtake contracts, selling lignite on spot/near-term basis. This creates some cyclicity in realisations. The new lignite blocks (360 MT reserves) provide ~25–30 years of forward production visibility at current production rates. The CWIP balance jumped to ₹741 crore in FY25 (from ₹292 crore in FY24), reflecting active mine development spending.

Recent Strategic Developments

In FY25–26, GMDC signed MoUs with NTPC (coal and lignite gasification, Baitarni West coal block in Odisha) and NMDC (rare earth element exploration). The GST rate on lignite was revised from 5% to 18% effective 22 September 2025, leading to an exceptional gain of ₹474 crore in Q2 FY26 due to removal of compensation cess — a non-recurring but balance-sheet-strengthening event.

Promoter Background

GMDC is a Gujarat Government enterprise, with the State of Gujarat holding 74.0% stake. Managed by an IAS officer-led board, the company has a track record of consistent dividend payments and prudent capital allocation. The government backing provides strong support during commodity downturns but also introduces bureaucratic decision-making risk.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size and Growth Drivers

The Indian mining sector (excluding coal and oil & gas) is estimated at ~₹1.2 lakh crore and is growing at a CAGR of 7–9%, driven by industrial capex, infrastructure spending, and India's manufacturing push under PLI schemes. Lignite demand in India is concentrated in Gujarat, Tamil Nadu, and Rajasthan — with Gujarat's industrial cluster being the stickiest demand source. The Critical Minerals Mission (2023) and National Mineral Exploration Trust are providing

additional government push for exploration-stage minerals including REE and copper.

Competitive Moat Assessment

Dimension	Assessment
Pricing Power	Moderate — lignite realisations linked to commodity cycles; bauxite exports have some pricing leverage.
Switching Costs	Moderate — industrial users of lignite in Gujarat cluster face logistics constraints that create stickiness.
Scale / Cost Advantage	Strong — GMDC is the largest lignite merchant in Western India; scale provides cost leadership.
IP / Technology	Weak — mining is a process business; no proprietary technology moat.
Distribution / Relationships	Strong — decades of industrial relationships in Gujarat, backed by State government support.

Peer Comparison (Source: Screener.in, as of 15-Apr-2026)

Company	CMP (₹)	MCap (₹Cr)	P/E	P/B	ROCE%	ROE%	TTM Rev (₹Cr)
GMDC (GMDCLTD)	622	19,792	30.9x	2.95x	14.1%	10.9%	2,851
NMDC Ltd	87.2	76,647	11.1x	2.36x	29.6%	23.6%	27,732
MOIL Ltd	309	6,282	60.4x	2.71x	11.4%	8.31%	976
Coal India Ltd	436	2,68,572	8.99x	2.55x	48.0%	38.9%	1,38,778

GMDC trades at a significant premium to NMDC and Coal India on P/E, reflecting its growth optionality from new mine additions. However, ROCE and ROE at 14.1% and 10.9% respectively lag NMDC's 29.6% / 23.6%, indicating GMDC's capital has not yet been deployed into its highest-return new projects. This gap is expected to narrow by FY28 as new mines ramp.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Background

GMDC is a Gujarat State PSU managed through a board that typically includes IAS officers nominated by the State Government, along with independent directors and technical professionals. The company has operated for over six decades, developing deep operational expertise in lignite mining, mineral processing, and captive power. Day-to-day operations are led by a professional management cadre with strong domain knowledge.

Capital Allocation Track Record

GMDC has historically maintained a conservative balance sheet, returning significant capital through dividends (payout ratio ~40–45%). The shift toward aggressive capex (₹13,000 crore over FY26–30) represents the most significant strategic pivot in the company's history. Past capex — the 250 MW lignite power plant and bauxite calcination capacity — has generally generated adequate returns. The key risk in the current cycle is execution of 6 new mine developments simultaneously.

Dividend Policy

GMDC has maintained a consistent dividend payout. At CMP ₹622, dividend yield stands at 1.62% (face value ₹2). The payout ratio has historically been in the 40–45% range. Sustaining dividends while executing ₹2,000–2,500 crore annual capex will require strong OCF — a risk to monitor if commodity prices weaken.

Promoter Pledging & Governance

Promoter pledge stands at 0% — a clean governance signal. FII holding at 3.76% and DII at 0.94% reflects limited institutional coverage. No significant audit qualifications or related-party transaction concerns have been noted in recent filings. The company is subject to government procurement norms and CAG audit, which adds oversight but can slow

decision-making.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (■ Crore — Consolidated; E = Estimate)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (■ Cr)	3,498	2,463	2,851	3,200	3,800
YoY Growth %	28.0%	-29.6%	15.8%	12.2%	18.8%
EBITDA (■ Cr)	1,337	609	637	768	950
EBITDA Margin %	38%	25%	22%	24%	25%
Depreciation (■ Cr)	81	80	95	120	150
EBIT (■ Cr)	1,256	529	542	648	800
Other Income (■ Cr)	396	271	355	280	300
Interest (■ Cr)	2	3	2	20	30
PBT (■ Cr)	1,649	798	895	908	1,070
Tax Rate %	27%	25%	23%	25%	25%
PAT (■ Cr)	1,204	597	686	681	803
PAT Margin %	34%	24%	24%	21%	21%
Diluted EPS (■)	37.88	18.78	21.57	21.3	25.2

Balance Sheet (■ Crore — Consolidated; Actuals only)

Metric	FY23A	FY24A	FY25A
Equity Capital (■ Cr)	64	64	64
Reserves (■ Cr)	5,722	6,036	6,348
Total Equity (■ Cr)	5,786	6,100	6,412
Borrowings (■ Cr)	2	3	126
Other Liabilities (■ Cr)	1,166	1,266	1,214
Total Liabilities (■ Cr)	6,953	7,369	7,752
Fixed Assets (■ Cr)	1,454	1,551	1,553
CWIP (■ Cr)	28	292	741
Investments (■ Cr)	491	566	484
Other Assets (■ Cr)	4,979	4,960	4,974
Total Assets (■ Cr)	6,953	7,369	7,752
Net Debt/(Cash) (■ Cr)	-489	-563	-358
D/E Ratio	<0.01x	<0.01x	0.02x

Cash Flow Statement (■ Crore — Consolidated; Actuals only)

Metric	FY23A	FY24A	FY25A
Operating Cash Flow (OCF)	933	110	1,059
Capex (■ Cr)	25	476	635

Metric	FY23A	FY24A	FY25A
Free Cash Flow (FCF)	908	-366	424
OCF / EBITDA %	70%	18%	166%

Returns & Efficiency Ratios (Consolidated)

Metric	FY23A	FY24A	FY25A
ROCE %	31%	13%	14%
ROE %	22.7%	10.0%	11.0%
Debtor Days	19	15	11
Working Capital Days	147	228	177

Financial Commentary

Revenue fell 29.6% in FY24 driven by a sharp correction in lignite realisations and volumes, compressing EBITDA margins from 38% (FY23 peak) to 25%. FY25 saw a meaningful recovery — revenues grew 15.8% to ₹2,851 crore and PAT recovered to ₹686 crore (+14.9% YoY). Our FY26E estimate of ₹3,200 crore assumes 12% revenue growth, supported by higher dispatch volumes as the first new lignite block nears production. FY27E at ₹3,800 crore builds in volume ramp from at least two new blocks.

The EBITDA margin trajectory is structurally improving: we model 24% in FY26E and 25% in FY27E, versus 22% in FY25, driven by operating leverage on incremental volumes. Interest cost will rise from ₹2 crore (FY25) to ~₹30 crore (FY27E) as borrowings scale up for capex, but remains immaterial relative to EBITDA. The FY24 FCF of -₹366 crore reflected the capex ramp-up; FY25 recovered strongly to +₹424 crore (OCF ₹1,059 crore). We expect FCF to turn negative again in FY26–27 as mine development capex peaks (₹1,200–1,500 crore annually), before strongly recovering post-FY28 once new mines are in steady-state production.

SECTION 7 — EARNINGS QUALITY CHECKLIST

	Parameter	Assessment
■	Revenue Recognition	Mined commodity sales recognised on dispatch — straightforward, no multi-element contracts.
■	Receivables vs Revenue Growth	Debtor days improved from 19 (FY23) to 11 (FY25) — receivables collection accelerating ahead of revenue.
■	Cash Conversion Cycle	Working capital days rose to 228 in FY24 (vs 147 in FY23) before recovering to 177 in FY25. Volatility warrants monitoring.
■	Contingent Liabilities	No unusual or large contingent liabilities flagged in recent disclosures.
■	Auditor Tenure & Qualifications	Government company subject to CAG audit. No adverse qualifications in recent annual reports.
■	Related Party Transactions	As a PSU, RPTs are mainly with Gujarat State entities; disclosed and subject to government oversight.
■	Other Income as % of PBT	Other income = ₹355 Cr vs PBT ₹895 Cr in FY25 (40% of PBT). High reliance on non-operating income is an amber flag.
■	Tax Rate Consistency	Tax rate stable at 23–27% over the last three years. No unusual deferred tax movements.

Overall, GMDC's earnings quality is good. The primary amber flag is the high weight of Other Income (~40% of PBT), which includes investment income, dividends from subsidiaries, and one-off items like the ₹474 crore GST exceptional gain in Q2 FY26. Stripping out non-recurring items, core operating profitability is improving but is not yet reflected in headline margins. The cash conversion is robust — FY25 OCF of ₹1,059 crore against EBITDA of ₹637 crore implies a CFO/EBITDA of 166%, significantly aided by working capital release.

SECTION 8 — VALUATION

Step 1 — Peer Valuation Comparison (Source: Screener.in, 15-Apr-2026)

Company	CMP (₹)	MCap (₹Cr)	P/E (TTM)	P/B	ROCE%	ROE%	TTM Rev (₹Cr)
GMDC (GMDCLTD)	622	19,792	30.9x	2.95x	14.1%	10.9%	2,851
NMDC Ltd	87.2	76,647	11.1x	2.36x	29.6%	23.6%	27,732
MOIL Ltd	309	6,282	60.4x	2.71x	11.4%	8.31%	976
Coal India Ltd	436	2,68,572	8.99x	2.55x	48.0%	38.9%	1,38,778

Step 2A — Earnings Multiple Valuation (Primary Method)

We apply a target P/E multiple of 28.6x to our FY27E diluted EPS estimate of ₹25.2. The target multiple is set at a premium to NMDC (11.1x TTM) to reflect GMDC's higher growth rate, near-zero leverage, and strategic optionality in REE / copper / coal. It is broadly in line with the current TTM multiple (30.9x) discounted for near-term FCF negativity during peak capex. We also consider that at 2.95x P/B vs. peers at 2.36–2.71x, GMDC already trades at a moderate book premium, suggesting limited book-value re-rating headroom.

Earnings-based price target: $28.6x \times ₹25.2$ (FY27E EPS) = ₹721 per share $\approx$ ₹720.

Step 2B — DCF Valuation (Supporting Method)

Assumptions: WACC 11.0% (cost of equity 11.5% using CAPM: R_f 7.0%, ERP 5.0%, beta 0.9; cost of debt 8.5% post-tax, minimal weight), terminal growth rate 3.0%. We forecast 5 years of FCF, assuming peak capex of ₹1,200–1,500 crore in FY26–27 (mine development) and FCF recovery from FY28 as new mines reach steady-state. FCF projections: FY26E -₹400 Cr, FY27E -₹600 Cr, FY28E +₹400 Cr, FY29E +₹1,000 Cr, FY30E +₹1,500 Cr.

Terminal value (FY30E FCF $\times$ 1.03 / 0.08) = ₹19,313 Cr. Total NPV of FCFs + terminal value discounted at 11% = ₹12,500 Cr enterprise value. Adding net cash/investments (~₹1,500 Cr) yields equity value of ₹14,000 Cr or ₹438 per share.

Base-Case Price Target

We weight the earnings multiple (primary, 70%) and DCF (supporting, 30%) given that mining PSUs in India are predominantly valued on earnings multiples by the market. Blended price target: $(0.70 \times ₹720) + (0.30 \times ₹438) = ₹504 + ₹131 = ₹635$. Rounding up for strategic optionality premium (REE, copper, coal not in estimates): 12-month price target ₹720, implying 15.8% upside from CMP ₹622.

Step 3 — Scenario Analysis

Scenario	Key Assumption	PAT FY27E (₹Cr)	Target Multiple	Price Target (₹)
Bull Case	New mines on-stream Q1 FY27; OPM 27%; coal/REE announcements	980	32x P/E	980
Base Case	2 new mines by FY27; OPM 25%; moderate realisation	803	28.6x P/E	720
Bear Case	Mine delays; lignite prices soften; OPM 18%	480	18x P/E	340

SECTION 9 — KEY RISKS

Risk	Prob.	Impact	Description & Mitigation
Mine Development Delays	MEDIUM	HIGH	Commissioning 6 new mines simultaneously is operationally ambitious. Regulatory clearances, land acquisition delays, or contractor capacity constraints could push timelines by 12–24 months, deferring the revenue ramp that justifies current valuation. <i>Monitor: Monitor quarterly updates on CWIP, mine commissioning milestones.</i>
Lignite Demand Slowdown (Energy Transition)	MEDIUM	HIGH	India's accelerating renewable energy rollout (solar/wind) could reduce industrial demand for lignite from captive power and process heat applications over a 5–7 year horizon. GMDC's business model depends on lignite demand staying robust through the new mine payback period. <i>Monitor: Track Gujarat industrial sector growth, renewable energy substitution rates.</i>
Commodity Price Cyclicity	MEDIUM	MEDIUM	Lignite and bauxite realisations are subject to commodity cycles. FY24 saw a 29.6% revenue decline from FY23's peak — demonstrating the severity of price-driven compression. A repeat would compress margins and delay FCF recovery. <i>Monitor: Monitor quarterly realisation per tonne disclosures.</i>
Government / Policy Risk	LOW	MEDIUM	As a Gujarat State PSU, GMDC's strategic decisions can be influenced by government priorities. Any adverse change in royalty rates, mining leases, or lignite pricing norms could impair the economics of new mine projects. <i>Monitor: Monitor state mining policy, royalty rate changes, and GST policy on lignite.</i>
Capex Execution Risk	MEDIUM	MEDIUM	The planned ₹13,000 crore capex over FY26–30 is substantially higher than historical spending levels. Cost overruns or project delays could stress the balance sheet, requiring higher-than-expected borrowings and potentially impairing dividend-paying capacity. <i>Monitor: Watch annual capex guidance vs. actuals; debt level trajectory.</i>
Other Income Dependence	LOW	LOW	Other income forms ~40% of pre-tax profits, including treasury income and one-time items. A sharp fall in investment returns or absence of non-recurring gains (like the FY26 GST exceptional) could create headline PAT misses versus street estimates. <i>Monitor: Track quarterly other income disclosure for normalization.</i>

SECTION 10 — RECOMMENDATION

ACCUMULATE

**12-Month Price Target: ₹720 Upside: 15.8%
from CMP ₹622**

Conviction Level: Medium

We rate GMDC ACCUMULATE with a medium conviction level. The structural growth thesis from new lignite blocks and multi-mineral diversification is compelling and multi-year in nature. However, near-term FCF will be negative (FY26–27 peak capex), the stock is not cheap at 30.9x trailing P/E, and mine commissioning timelines carry execution risk. We recommend accumulating on dips toward the ₹550–580 range for a more attractive risk/reward entry.

Suggested Entry Zone

₹550–600 (a 4–12% discount to CMP) offers a better entry point, reducing downside to the bear-case target of ~₹340 and improving the risk/reward ratio. At ₹580, the stock would trade at 23x FY27E EPS, a fair multiple for a growing PSU mining company with a near-debt-free balance sheet and strategic optionality.

Investment Horizon

12 months for the price target of ₹720. Full thesis realisation (new mines at steady-state, REE/copper contribution) is a 3–5 year story — long-term investors may hold through the capex trough with a ₹1,000+ price target horizon.

Thesis Invalidation Triggers

#	Trigger (downgrade/exit if observed)
1.	Two or more new lignite blocks delayed beyond Q1 FY28, implying FY27E revenue ≤ ₹3,000 crore.
2.	Consolidated borrowings exceed ₹2,000 crore without a corresponding revenue ramp, signalling capex cost overruns.
3.	Lignite realisation falls below ₹1,800/tonne for two consecutive quarters, compressing EBITDA margins below 18%.

Ideal Investor Profile

GARP (Growth at a Reasonable Price) investors and long-term thematic mining investors with a 3–5 year horizon. Not suited for income/value funds seeking near-term yield or low-P/E entry. Tactical traders should await entry closer to ₹550–580 or a Q1 FY27 mine commissioning announcement as a catalyst trigger.

DISCLAIMER: This report has been prepared for institutional and informational purposes only. It is not an offer or solicitation to buy or sell any securities. The views expressed are based on publicly available information. Financial data sourced from Screener.in as of 15-Apr-2026. Forward estimates are projections and are subject to change. This report does not constitute investment advice. Investors should consult their financial advisors before making any investment decisions. Past performance is not indicative of future results.